

Recommendation

Case number	700088
Complainant	Mr Richard Mclean
Financial firm	Media Super Limited (trustee)
Fund	Media Super
Former fund	Just Super

1 Overview

1.1 Complaint

The complainant held an account with the former fund. The former fund was merged into the current fund in 2008 and the trustee assumed responsibility for the former trustee's decisions.

The complainant made a total and permanent disability (TPD) claim which was approved. It was paid on 11 June 2008. The complainant states the benefit was not taxed correctly.

He is seeking to have the calculation of the tax amount on the benefit reassessed and for it to be taxed correctly.

1.2 Issues and key findings

Was the tax on the TPD benefit calculated correctly?

Yes, I am satisfied that the correct tax amount was calculated by the trustee when it paid out the complainant's TPD benefit. This is based on the evidence provided by the complainant and using tax benefit calculations.

Was the trustee's administration of the account fair and reasonable?

I am satisfied the trustee's handling of the account including its administration was fair and reasonable as there is no evidence an error has been made.

1.3 Recommendation

This recommendation is in favour of the trustee. The trustee is not required to take any action.

2 Reasons for recommendation

2.1 Was the tax on the TPD benefit calculated correctly?

The trustee is required by law to withhold tax when paying a benefit

The complainant made a successful TPD claim in 2008. The insurer paid the trustee, being the policy holder, a lump sum TPD benefit of \$74,393.47. The trustee withheld \$4,155 in tax from this amount when paying the complainant. The complainant questions the calculation of the tax amount. He also questions whether tax should have been withheld from the payment as he was unemployed and on a disability pension at the payment date.

When paying benefits, the trustee must comply with legislative requirements. As the complainant met the permanent incapacity condition of release under item 103 of schedule 1 of the *Superannuation Industry (Supervision) Regulations 1994*, it was able to pay the benefit to the complainant.

Section 301.35 of the *Income Tax Assessment Act 1997* (ITA) provides that tax is payable on superannuation benefits that are paid to a person who is below preservation age, which for the complainant is 60. There is no exception for people who are unemployed or on a disability pension.

As the complainant was under the age of 60 when the TPD benefit was paid, I am satisfied the trustee was obliged under the ITA to withhold tax from the benefit.

The trustee withheld the correct tax amount

The complainant has provided a PAYG payment summary for the financial year ending 30 June 2008. This shows there was a taxable component of \$19,327 and a tax-free component of \$70,272.

The taxable component is the portion of the lump sum TPD payment that is deemed to apply to the time the complainant has spent in the fund. The tax-free component is the portion of the lump sum that is deemed to apply to the time after the complainant leaves the fund until he would reach age 65. Tax is calculated just before the benefit is paid.

To calculate the tax owed on the taxable component, we need to apply the applicable tax rate at the time which was 20%, together with the applicable Medicare levy rate of 1.5%.

Therefore, to calculate 21.5% of the taxable component to find the tax payable, the equation is:

\$19,327 divided by 100 and then multiplied by 21.5. This equals \$4,155 (rounded).

This is the amount which the trustee was required to pay in tax. As it equates to the amount shown on the PAYG summary, I am satisfied the former trustee withheld the correct amount of tax from the complainant's TPD benefit.

2.2 Was the trustee's administration of the account fair and reasonable?

Trustee has not made an error

The trustee has been unable to provide any documentation due to the length of time which has expired since the payment was made and because there has been a successor fund transfer. The trustee is not legally obliged to keep records for longer than 10 years.

I note the complainant has also been unable to provide any information to show he was negatively impacted or suffered a loss through the trustee's actions.

As such, without further information, I am satisfied the trustee has not made an error in managing the complainant's account.

3 Supporting information

3.1 Relevant Law

Superannuation Industry (Supervision) Act 1993 – Section 105

Duty to keep reports

(1) Each trustee of a regulated superannuation fund or of an approved deposit fund must ensure that:

(a) copies of all member or beneficiary reports are kept, and retained so long as they are relevant and in any event for at least 10 years...

Income Tax Assessment Act 1997 – Section 301.35

Superannuation lump sum - taxable component taxed at 20%

(1) If you are under your preservation age when you receive a superannuation lump sum, the taxable component of the lump sum is assessable income.

3.2 Payment confirmation

Financial Year ended	Payment Type	Tax Free Amount	Taxed Component Taxable Amount	Untaxed Component Taxable Amount	Total Tax withheld	Payment date
30/06/2008	[old trustee name and abn]	\$70,272.00	\$19,327.00	\$0.00	\$4,155.00	11/06/2008



Cameron Boyle
Case Manager
Australian Financial Complaints Authority